Autowagen Master — AR reduction vs cash refund

Locked balance rules + how **AR reduction** vs **cash refund** appear in reports. Save as PDF: `Ctrl + P` → **Save as PDF** (Chrome / Edge).

1. Locked rule — net balance (invoice, AR, statement)

When you **finalise** a credit note against a **final** invoice, the system still:

- Puts **part stock back** for lines that reference a physical part.
- Assigns a **CN-YYYY-NNNNN** number and stores totals + **adjustment type**.

Net due / Remaining / Balance (used for payment limits, who appears as owing money, and overdue logic) is unchanged:

> **Net due** = **Invoice total (incl. VAT)** − **all payments** − **all finalised credits** (both AR reduction and cash refund)

So both credit types **still reduce the same remaining amount**. **Cash refund** credits also require **refund date / method / ref** fields for audit (money out).

1b. Locked rule — reporting split (AR + statement)

Accounts receivable and the **customer statement** now show **two extra columns** per invoice (when Stage 7 tables exist):

- **AR cr.** — sum of finalised credits tagged **AR reduction**.
- **Refund cn.** — sum of finalised credits tagged **cash refund**.

The report **Balance** column stays **net due** as above. The split is for bookkeeping — you can see how much of returned value was classed as AR-style vs refund-style without changing the net number.

2. Plain-language meaning of each option

AR reduction (accounts receivable reduction)

- In words: *"The customer owes us less on this invoice—we have reduced the debt (credit)."*
- Typical use: return or price adjustment while the sale is still partly **on account**; the **invoice balance** should drop even if you don't type a new "payment" line for that exact moment.

Cash refund

- In words: *"We actually paid money back (cash, EFT, card, etc.), linked to this credit."*
- You fill **refund paid date**, **method**, and optionally **reference**—so staff and your accountant can see **cash moved**, not only that the invoice balance changed.

> **Net vs split:** The programme does **not** use "only AR reduction" to calculate net due — that would inflate balances when cash refunds exist. The **split columns** answer "how much credit was classified each way," not a second balance

> formula.

3. What we did *not* build (heavier accounting)

We did **not** add a second "AR-only balance" that ignores cash-refund credits for **collections**, and we did **not** add a cash-out report. If your accountant needs full general-ledger treatment, export or book those in your external package. Optional later: dedicated **refunds paid** report from `cash_refund` credit notes.

4. Numeric example

- Invoice total: **R 1 000**
- Payments recorded: **R 400**
- Owed before credit: **R 600**

You finalise a credit note for **R 150** as **AR reduction**:

> **Net due** = 1 000 − 150 − 400 = **R 450**

Statement / AR **AR cr.** shows **R 150**; **Refund cn.** shows **R 0**. If the same R 150 were **cash refund** instead, net due is still **R 450**, but **Refund cn.** shows R 150 and **AR cr.** R 0.

5. What to do in the shop

1. Use **AR reduction** when the story is "we reduced what they owe" without emphasising cash movement.
2. Use **cash refund** when money went out — always fill date/method/ref where possible.
3. On **AR** and **Statement**, read **AR cr.** vs **Refund cn.** for classification; use **Balance** for what is still owed (net).

6. Further backlog

See **`docs/BACKLOG_POST_STAGE7.md`** — supplier returns, SMTP, PayFast/Stripe shop payments, richer sales-summary credit analysis.

7. Alternate accountant rule (not implemented — requires explicit product sign-off)

> **Current Autowagen:** "Net due" **includes** cash-refund credit notes when subtracting credits (see §1). Everything below describes a **different policy** some accountants ask for — **not** what the software does today. Do **not** turn this on inside the app unless you formally choose it and ship matching code + UX.

7a. What the alternate rule says

Under this policy, exactly one headline number would drive "collections / receivable outstanding" everywhere (invoice banner, AR list, overdue, possibly payment caps):

AR-adjusted balance = Invoice total − Payments − Σ(credits typed **AR reduction only**)

Credits tagged **cash refund** would still exist (lines, totals, CN number, refund date/method/ref for audit), but they would **not** subtract from that headline figure. Interpretation accountants sometimes want: cash refunds belong in the **cash ledger / payout narrative**, while **AR reduction** is the non-cash path that directly writes down customer debt visible in "aged receivables."

7b. Why that breaks simple "one Balance" maths

For **any** cash refund CN that is economically real, removing it from net due means:

- The programme's headline "still owed" can sit **above** the amount you would honestly ask the buyer to settle by EFT/card after the refund unless you introduce a **second** number or a negative customer balance.

Example A — partly on account:
Total R 1 000 · Paid R 400 · Economy before credit note: owes R 600.
Buyer returns goods; you finalise **R 150** cash refund CN (cash left the till). Truth: they should owe about **R 450**.
• **Today (implemented):** Net due = R 450 ✓.
• **Alternate (headline excludes cash refunds):** "AR-adjusted" = R 600 − 0 refund line in that bucket = shows **R 600** owing — unless you overlay "economic balance" elsewhere.

7c. Overpayment — money arrives before refunds are documented

If a customer accidentally pays too much (**R 300** on a **R 100** invoice), POS today has **R −200** style remaining or you record only R 100 and park the surplus — practice varies. A cash-refund CN is one way to return the extra. Under "exclude cash refunds from net due everywhere," returning that overpaid **R 200** via a **cash refund** CN would **not** move the headline receivable figure you just agreed to redefine — so:

- You need a documented rule for **unapplied credits**, **customer deposit balance**, or **negative AR**.
- **UX:** when "Remaining" diverges from "economically refundable," warnings, colour coding, links to petty cash.

7d. Fully paid invoices, then refund

Invoice settled to **R 0** owing; later you approve a goodwill or warranty **R 250** cash refund CN.

- **Implemented rule:** Net due shifts to roughly **−R 250** (conceptually "we owe them" / credit balance) depending on rounding and guards — statements and AR filters must decide whether to treat negative as zero for "owed to us."
- **Alternate rule:** If cash refunds never shrink headline net due and you never subtract them from collections total, headline can stay at **R 0** paid-up while economically you still owe cash — **unless** the product exposes a parallel "supplier/customer refundable balance" ledger or negatives.

That implies **dedicated workflows**: "final invoice + refund lifecycle," not just one Balance column.

7e. Product choices you cannot skip (before any build)

1. **Which figure is authoritative for “still owe Autowagen” reminders?** AR-adjusted-only, economics-only (today’s rule), or two visible numbers?
2. **Payment modal:** cap new payments against which balance? forbid payment if surplus exists?
3. **Statements / WhatsApp summaries:** which number do you verbalise?
4. **Dunning:** can we chase balance that includes ignored cash refunds? (risk of legally bad comms).
5. **Governance:** who may pick AR reduction vs cash refund if it changes totals differently under alternate rule?

> **For Autowagen today:** If you tell the accountant you want cash refunds excluded from net due globally, phrase it plainly as **“we need the alternate accountant rule in §7 and we accept dual-balance UX + overpayment/refund workflows.”** That triggers a scoped build — not a one-line SQL patch.
